

Minimum Capital Requirement

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1

Application

1.1

Unless otherwise stated, this Part applies to:

1. (1) a _UK Solvency II firm_ ; and
2. (2) in accordance with Insurance General Application 3, the _Society_ , as modified by 5.

1.2

In this Part, the following definitions shall apply: [Note: there are currently no Part specific definitions]

2

General Provisions

2.1

A _firm_ must hold _eligible own funds_ covering the _MCR_.

[Note: Art. 128 of the _Solvency II Directive_]

3

Calculation of the Minimum Capital Requirement

3.1

[Deleted]

3.1A

The MCR must be equal to the following:

$$\mathrm{MCR} = \max(\mathrm{MCR}_{\text{combined}}, \mathrm{AMCR})$$

where:

1. (1) MCRcombined denotes the combined minimum capital requirement referred to in 3.1B; and
2. (2) AMCR denotes the absolute floor referred to in 3.2.

3.1B

The combined minimum capital requirement must be equal to the following:

$$\mathrm{MCR}_{\text{combined}} = \min(\max(\mathrm{MCR}_{\text{linear}}, 0.25 \cdot \mathrm{SCR}), 0.45 \cdot \mathrm{SCR})$$

where:

1. (1) $\mathrm{MCR}_{\text{linear}}$ denotes the linear minimum capital requirement, calculated in accordance with 3A to 3C; and
2. (2) SCR denotes the SCR calculated in accordance with SCR Rules.

3.2

The $\mathrm{MCR}_{\text{MCR}}$ must have an absolute floor of:

1. (1) £2,400,000 for firms , including captive insurers , which have $\text{Part 4A permission}$ to $\text{effect contracts of insurance}$ or carry out contracts of insurance that are $\text{contracts of general insurance}$, except in the case where all or some of the general insurance business classes 10 to 15 are covered, in which case it must be no less than £3,500,000;
2. (2) £3,500,000 for firms , including captive insurers , which have $\text{Part 4A permission}$ to $\text{effect contracts of insurance}$ or $\text{carry out contracts of insurance}$ that are $\text{contracts of long term insurance}$;
3. (3) £3,500,000 for pure reinsurers , except in the case of $\text{captive reinsurers}$ that are pure reinsurers , in which case the $\mathrm{MCR}_{\text{MCR}}$ must be no less than £1,200,000;
4. (4) Unless (5) applies, the sum of the amounts set out in (1) and (2) for composite firms other than pure reinsurers ;
- or
5. (5) For composite firms, other than pure reinsurers, whose Part 4A permission in relation to general insurance business is limited to general insurance business class 1 (accident) or class 2 (sickness) and where the gross written premiums for either:
 1. (a) general insurance business; or
 2. (b) long-term insurance business,
3. do not exceed 10% of total gross written premiums of the firm as a whole, the amount set out in (2).

3.3

Without prejudice to the requirements on the absolute floor in 3.2, the $\mathrm{MCR}_{\text{MCR}}$ must neither fall below 25% nor exceed 45% of the firm's SCR , calculated in accordance with SCR Rules , and including any capital add-on which has been imposed.

[Note: Art. 129(3) of the $\text{Solvency II Directive}$]

3A

Calculation of the Linear Minimum Capital Requirement

3A.1

The linear minimum capital requirement referred to in 3.1B must be equal to the following:

$$\mathrm{MCR}_{\text{linear}} = \mathrm{MCR}_{\text{linear,gi}} + \mathrm{MCR}_{\text{linear,l}}$$

where:

1. (1) $\mathrm{MCR}_{\text{linear,gi}}$ denotes the linear formula component for general insurance and reinsurance obligations; and
2. (2) $\mathrm{MCR}_{\text{linear,l}}$ denotes the linear formula component for long-term insurance and reinsurance obligations.

3B

Linear Formula Component for General Insurance and Reinsurance Obligations

3B.1

The linear formula component for general insurance and reinsurance obligations referred to in 3A.1 must be equal to the following:

$$\mathrm{MCR}_{\{\text{linear}, \text{gi}\}} = \sum_s \mathrm{MCR}_{\{\text{linear}, \text{gi}\}} = \sum_s (\alpha_s \cdot \mathrm{TP}_{\{\text{gi}, s\}}) + (\beta_s \cdot \mathrm{P}_{\{s\}})$$

where:

1. (1) the sum covers all segments set out in 6.1;
2. (2) $\mathrm{TP}_{\{\text{gi}, s\}}$ denotes the technical provisions without a risk margin for general insurance and reinsurance obligations in the segment s after deduction of the amounts recoverable from reinsurance contracts and special purpose vehicles, with a floor equal to zero;
3. (3) P_s denotes the premiums written for general insurance and reinsurance obligations in the segment s during the last 12 months, after deduction of premiums for reinsurance contracts, with a floor equal to zero; and
4. (4) the factors α_s and β_s are set out in 6.1.

3B.2

The amounts recoverable from reinsurance contracts and special purpose vehicles referred to in 3B.1(2) must not include any of the following amounts:

1. (1) amounts recoverable from reinsurance contracts or special purpose vehicles that cannot be taken into account in accordance with Technical Provisions ? Further Requirements 23.3 and 23.5; and
2. (2) amounts recoverable from reinsurance contracts or special purpose vehicles, that do not comply with Solvency Capital Requirement ? Standard Formula 3G2, 3G3, 3G5 and 3G7 or with Solvency Capital Requirement ? Internal Models 11.10 to 11.12.

3B.3

In the calculation of premiums written after deduction of premiums for reinsurance contracts referred to in 3B.1(3), the following premiums for reinsurance contracts must not be deducted:

1. (1) premiums in relation to non-insurance events or settled insurance claims that are not accounted for in the cashflows referred to in Technical Provisions ? Further Requirements 23.3; and
2. (2) premiums for reinsurance contracts that do not comply with Solvency Capital Requirement ? Standard Formula 3G2, 3G3, 3G5 and 3G7, or with Solvency Capital Requirement ? Internal Models 11.10 to 11.12.

3C

Linear Formula Component for Long-term Insurance and Reinsurance Obligations

3C.1

The linear formula component for long-term insurance and reinsurance obligations referred to in 3A.1 must be equal to the following:

$$\mathrm{MCR}_{\{\text{linear}, l\}} = 0.037 \cdot \mathrm{TP}_{\{(l,1)\}} + 0.052 \cdot \mathrm{TP}_{\{(l,2)\}} + 0.007 \cdot \mathrm{TP}_{\{(l,3)\}} + 0.021 \cdot \mathrm{TP}_{\{(l,4)\}} + 0.0007 \cdot \mathrm{CAR}$$

where:

1. (1) TP(I,1) denotes the technical provisions without a risk margin in relation to guaranteed benefits provided for long-term insurance obligations with profit participation, after deduction of the amounts recoverable from reinsurance contracts and special purpose vehicles, with a floor equal to zero, and technical provisions without a risk margin for reinsurance obligations where the underlying long-term insurance obligations include profit participation, after deduction of the amounts recoverable from reinsurance contracts and special purpose vehicles, with a floor equal to zero;
2. (2) TP(I,2) denotes the technical provisions without a risk margin in relation to future discretionary benefits for long-term insurance obligations with profit participation, after deduction of the amounts recoverable from reinsurance contracts and special purpose vehicles, with a floor equal to zero;
3. (3) TP(I,3) denotes the technical provisions without a risk margin for linked long-term liabilities, after deduction of the amounts recoverable from reinsurance contracts and special purpose vehicles, with a floor equal to zero;
4. (4) TP(I,4) denotes the technical provisions without a risk margin for long-term insurance and reinsurance obligations other than those mentioned in (1) to (3), after deduction of the amounts recoverable from reinsurance contracts and special purpose vehicles, with a floor equal to zero; and
5. (5) CAR denotes the total capital at risk, being the sum, in relation to each contract of insurance that gives rise to long-term insurance and reinsurance obligations, of the capital at risk of the contracts, where the capital at risk of a contract means the higher of zero and the difference between the following two amounts:
6. (a) the sum of all of the following:
 1. (i) the amount that the firm would currently pay in the event of the death or disability of the persons insured under the contract of insurance after deduction of the amounts recoverable from reinsurance contracts and special purpose vehicles; and
 2. (ii) the expected present value of amounts not covered in (i) that the firm would pay in the future in the event of the immediate death or disability of the persons insured under the contract of insurance after deduction of the amounts recoverable from reinsurance contracts and special purpose vehicles; and
7. (b) the best estimate of the corresponding obligations after deduction of the amounts recoverable from reinsurance contracts and special purpose vehicles.

3C.2

The amounts recoverable from reinsurance contracts and special purpose vehicles referred to in 3C.1(1) to (4), must not include any of the following:

1. (1) amounts recoverable from reinsurance contracts or special purpose vehicles that cannot be taken into account in accordance with Technical Provisions ? Further Requirements 23.3 and 23.5; and
2. (2) amounts recoverable from reinsurance contracts or special purpose vehicles that do not comply with Solvency Capital Requirement ? Standard Formula 3G2, 3G3, 3G5, 3G6, 3G7, 3G8 and 3G9 or with Solvency Capital Requirement ? Internal Models 11.10 to 11.12.

4

Frequency and Reporting in Relation to the Minimum Capital Requirement

4.1

A firm must calculate the MCR at least quarterly and report the results of that calculation to the PRA in accordance with the requirements laid down in Reporting 2.1 to 2.5.

[Note: Art. 129(4) of the Solvency II Directive]

4.2

Where either of the limits referred to in 3.3 determines a firm's MCR the firm must provide the PRA information allowing a proper understanding of the reasons therefor.

[Note: Art. 129(4) of the _Solvency II Directive_]

5

Lloyd's

5.1

This Chapter applies to the _Society_.

5.2

In calculating the _MCR_ for Lloyd's, in the manner required by 3, the _Society_ must ensure that the _MCR_ is calibrated so as to include all quantifiable risks to which:

1. (1) _members_ are exposed as a consequence of those _members_ carrying on _insurance business_ at Lloyd's; and
2. (2) the _Society_ is exposed, including risks to the _central assets_ and _central liabilities_.

5.3

The _Society_ must determine, at least quarterly, the ratio of the Lloyd's _MCR_ to the Lloyd's _SCR_ and notify the _PRA_ of the result at the same time it reports the quarterly _MCR_ calculation required by 4.1.

5.4

The _Society_ must calculate a reporting point for each _underwriting member_ , in accordance with 5.5.

5.5

The reporting point for each _underwriting member_ must be calculated using the ratio referred to in 5.3, expressed as a percentage of the _member's_ notional _SCR_ referred to in Solvency Capital Requirement ? General Provisions 8.4.

5.6

The _Society_ must notify the _PRA_ if _own funds_ attributable to a _member_ fall below the reporting point determined in accordance with 5.5 as soon as it is observed by the _Society_.

6

Minimum Capital Requirement Risk Factors for General Insurance and Health Insurance and Reinsurance Obligations

6.1

| Segment | Lines of business that the segment consists of | Factor for technical provisions for segment _s_ (?s) | Factor for premiums written for segment _s_ (?s)

---|---|---|---

1 | Medical expense insurance

| 1 and 13

| 4.7% | 4.7%

2 | Income protection insurance

| 2 and 14

| 13.1% | 8.5%

3 | Workers' compensation insurance | 3 and 15

| 10.7% | 7.5%

4 | Motor vehicle liability insurance and proportional reinsurance

| 4 and 16

| 8.5% | 9.4%

5 | Other motor insurance and proportional reinsurance

| 5 and 17

| 7.5% | 7.5%

6 | Marine, aviation and transport insurance and proportional reinsurance

| 6 and 18 | 10.3% | 14%

7 | Fire and other damage to property insurance and proportional reinsurance

| 7 and 19 | 9.4% | 7.5%

8 | General liability insurance and proportional reinsurance

| 8 and 20 | 10.3% | 13.1%

9 | Credit and suretyship insurance and proportional reinsurance

| 9 and 21 | 17.7% | 11.3%

10 | Legal expenses insurance and proportional reinsurance

| 10 and 22 | 11.3% | 6.6%

11 | Assistance and its proportional reinsurance

| 11 and 23 | 18.6% | 8.5%

12 | Miscellaneous financial loss insurance and proportional reinsurance

| 12 and 24 | 18.6% | 12.2%

13 | Non-proportional casualty reinsurance

| 26 | 18.6% | 15.9%

14 | Non-proportional marine, aviation and transport reinsurance

| 27 | 18.6% | 15.9%

15 | Non-proportional property reinsurance

| 28 | 18.6% | 15.9%

16 | Non-proportional health reinsurance

| 25 | 18.6% | 15.9%